The Walt Disney Company (DIS)

Q1 FY25 Earnings Review - DTC profit inflection and studio rebound drive EPS upside; Experiences holds despite weather and cruise costs

Rating	12-mo price target	Current price	Implied upside	Market cap
Outperform	$115	$98.79	16.4%	$175.1bn

Investment view

We remain constructive on DIS following Q1 FY25. The quarter showed that Disney's earnings recovery is broadening beyond cost reductions: adjusted EPS rose 44%, total segment operating income rose 31%, and Entertainment delivered a significant profit inflection across both DTC and theatrical. The key debate is whether Disney can compound earnings while funding streaming investment, sports rights, and Experiences capacity growth. Q1 supports the bull case, though cash conversion remains a near-term watch item as cruise capex accelerates.

Key takeaways

- Earnings quality improved: revenue rose 5% to $24.7bn, total segment operating income rose 31% to $5.1bn, and adjusted EPS rose 44% to $1.76.

- Entertainment was the clear upside driver: operating income rose 95% to $1.7bn as DTC swung to a $293mm profit and Content Sales/Licensing turned profitable on Moana 2.

- Sports moved back into profit, with segment operating income of $247mm versus a loss last year, helped by the Star India transaction and ESPN advertising growth.

- Experiences remained resilient: operating income was flat at $3.1bn despite a roughly $120mm hurricane impact and about $75mm of Disney Treasure pre-opening expense.

- Free cash flow was weaker than earnings: operating cash flow rose 47%, but FCF declined 17% as capex nearly doubled on cruise expansion.

Bottom line

We rate DIS Outperform with a $115 12-month price target. Our target applies ~19.2x to our FY26E adjusted EPS of ~$5.99. At the current price, DIS trades at ~18.3x our FY25E adjusted EPS and ~16.5x our FY26E adjusted EPS. We view that as attractive for a scaled IP platform with improving DTC economics, a recovering studio slate, and durable Experiences profitability.

Quarterly scorecard

Q1 was a strong start to FY25. The cleanest operating lens is adjusted EPS and segment operating income, because GAAP results included Star India transaction-related tax and restructuring items.

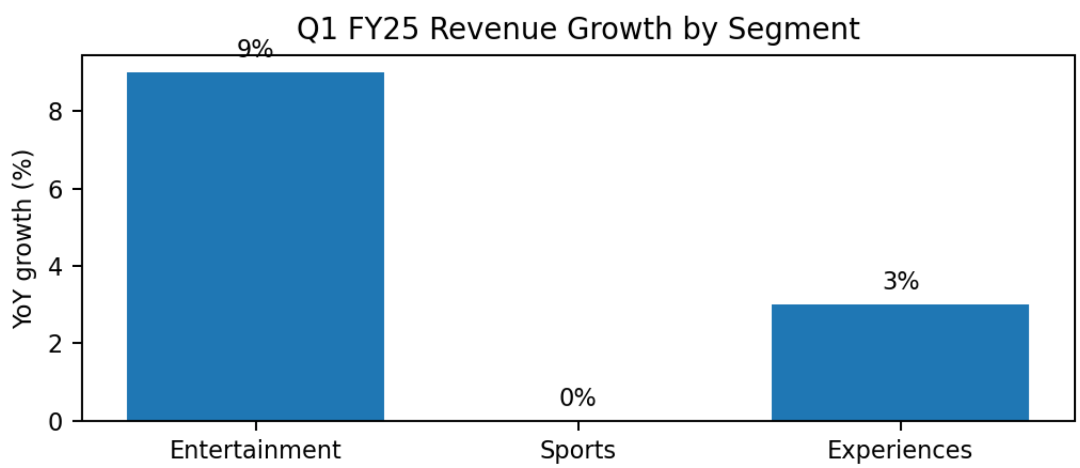
Metric	Q1 FY25	Q1 FY24	YoY
Revenue	$24.7bn	$23.5bn	5%
Income before taxes	$3.7bn	$2.9bn	27%
Segment operating income	$5.1bn	$3.9bn	31%
Adjusted EPS	$1.76	$1.22	44%
Free cash flow	$0.7bn	$0.9bn	(17)%

What mattered most

- The operating beat was driven by mix and recovery: DTC profitability, theatrical distribution, and a cleaner Sports comparison offset softer linear and weather-disrupted domestic Experiences.

- Adjusted EPS grew faster than segment operating income, helped by share count reduction and the exclusion of Star India transaction and amortization items.

- FCF did not keep pace with earnings because capex increased by $1.2bn, mostly from Disney Cruise Line fleet expansion.

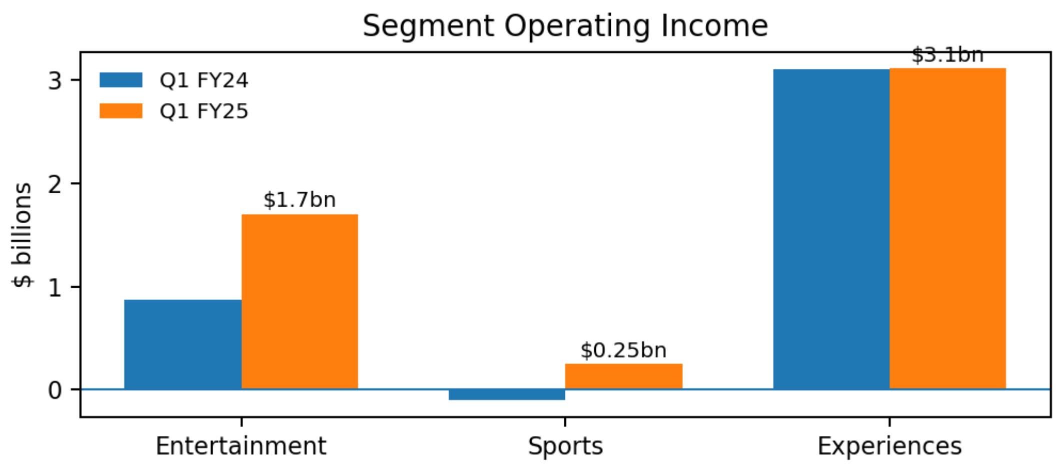


Source: Company Q1 FY25 earnings release, summarized financial and segment results.

Segment view

Segment performance was not uniform, but the portfolio delivered. Entertainment was the recovery engine, Experiences remained the profit anchor, and Sports moved from loss to profit despite higher college football rights costs at domestic ESPN.

Segment	Revenue	Rev YoY	Op income	OI YoY	Margin	Analyst view
Entertainment	$10.9bn	9%	$1.7bn	95%	15.7%	Strongest earnings contribution; DTC profit and Moana 2 theatrical performance more than offset Linear Networks pressure.
Sports	$4.8bn	0%	$247mm	nm	5.1%	Reported profit recovered on Star India deconsolidation and ESPN ad strength; domestic ESPN still pressured by CFP rights costs.
Experiences	$9.4bn	3%	$3.1bn	0%	33.0%	Largest profit pool; flat OI despite hurricanes and cruise pre-opening costs shows pricing and international parks resilience.



Segment operating income mix: Experiences generated roughly 61% of Q1 segment operating income, Entertainment 34%, and Sports 5%.

Deep dive: Entertainment and DTC

Entertainment is the key incremental proof point. The segment nearly doubled operating income, with DTC profitability improving by $431mm year over year and Content Sales/Licensing swinging from a loss to a profit on stronger theatrical distribution. This matters because it shows Disney can improve earnings while still investing in streaming product and content.

DTC / streaming metrics	Q1 FY25	Prior period	Change
DTC revenue	$6.1bn	$5.5bn	9% YoY
DTC operating income	$293mm	-$138mm	+$431mm YoY
Disney+ subscribers	124.6mm	125.3mm	(1)% q/q
Hulu subscribers	53.6mm	52.0mm	3% q/q
Disney+ ARPU	$7.55	$7.20	5% q/q
ESPN+ ARPU	$6.36	$5.94	7% q/q

DTC: margin bridge is improving

- Subscription revenue benefited from pricing and subscriber growth, partially offset by FX.

- Advertising was mixed: Disney+ Hotstar created a tough comparison, but Disney+ Core and Hulu advertising revenue increased on higher impressions.

- Disney+ subscribers declined modestly sequentially, but Hulu grew 3%; ARPU trends were positive across Disney+ and ESPN+.

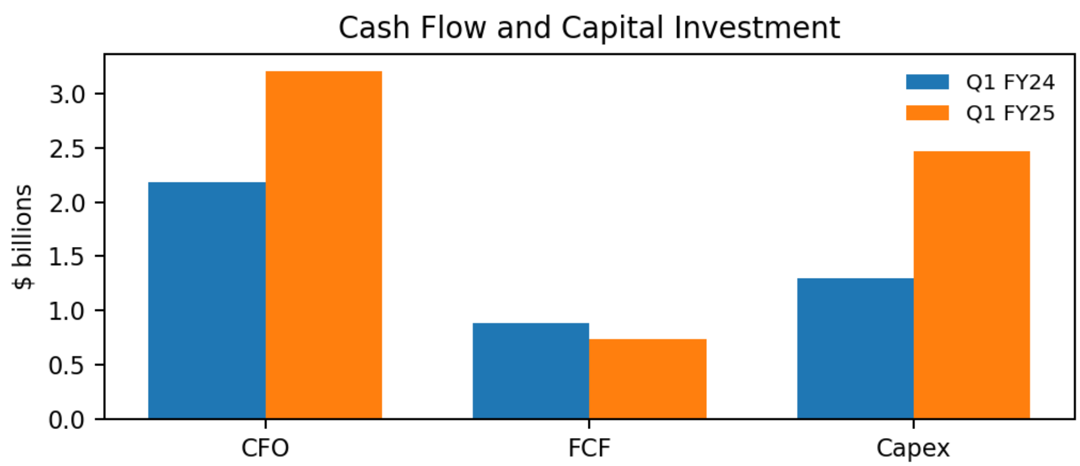
Studio rebound matters

Content Sales/Licensing and Other generated $312mm of operating income versus a $224mm loss last year. The improvement reflected the strong performance of Moana 2, with Mufasa: The Lion King also in the quarter. We view this as evidence that Disney's theatrical engine is again contributing to earnings rather than absorbing losses.

Sports, Experiences, and cash flow

Sports and Experiences tell different stories. Sports benefited from a cleaner Star India comparison and strong ESPN advertising, while Experiences absorbed weather and cruise costs yet still produced more than $3bn of operating income.

Experiences detail	Q1 FY25	Q1 FY24	YoY
Domestic revenue	$6.4bn	$6.3bn	2%
International revenue	$1.6bn	$1.5bn	12%
Consumer Products revenue	$1.3bn	$1.4bn	(2)%
Domestic operating income	$2.0bn	$2.1bn	(5)%
International operating income	$0.4bn	$0.3bn	28%
Consumer Products operating income	$0.7bn	$0.7bn	1%



Cash flow and capital returns

Operating cash flow improved to $3.2bn from $2.2bn, helped by lower tax payments and higher Entertainment operating income. Free cash flow declined to $739mm from $886mm because investments in parks, resorts, and other property increased to $2.5bn from $1.3bn, primarily due to cruise fleet expansion. This is the main near-term debate: higher capex should support future Experiences capacity, but it delays visible FCF conversion.

Outlook and valuation

Management reiterated FY25 high-single-digit adjusted EPS growth, approximately $15bn of operating cash flow, double-digit Entertainment operating income growth, 13% Sports operating income growth, and 6% to 8% Experiences operating income growth. Q2 guidance includes a modest Disney+ subscriber decline, Sports headwinds from college sports, an additional NFL game and exiting the Venu Sports JV, and about $40mm of cruise pre-opening expense.

Valuation bridge	Estimate / assumption
FY24 adjusted EPS base	$4.97
FY25E adjusted EPS	$5.39 (+8.5%)
FY26E adjusted EPS	$5.99 (our model, +11.0%)
Target multiple	19.2x FY26E adjusted EPS
12-month price target	$115
Current price	$98.79
Implied upside	16.4%

Why Outperform

- DTC profitability is no longer theoretical; Q1 delivered a $431mm year-over-year swing in DTC operating income.

- The studio slate is again a profit contributor, improving the quality of Entertainment earnings.

- Experiences maintained operating income despite temporary hurricane and pre-opening headwinds, preserving the high-return capital deployment thesis.

- At ~18.3x our FY25E adjusted EPS and ~16.5x FY26E, the stock does not fully reflect the potential for multi-year EPS growth.

Key risks

- Streaming churn or ARPU pressure after price increases.

- Sports rights inflation and linear subscriber declines outpacing ESPN monetization.

- Domestic parks attendance softness or macro-sensitive travel demand.

- Higher cruise and parks capex delaying FCF recovery.

- Theatrical slate volatility following a strong Moana 2 quarter.

Catalysts

- Sustained DTC operating profitability and higher ARPU.

- Q2 delivery despite known Sports and cruise expense headwinds.

- Evidence of Experiences demand resilience after hurricane disruption.

- Continued share repurchases and progress toward the FY25 cash flow guide.

Appendix: source notes and methodology

Primary company data in this note comes from The Walt Disney Company Q1 FY25 earnings release dated February 5, 2025, including headline financial results, segment results, DTC subscriber and ARPU metrics, cash flow, capex, and non-GAAP reconciliations. Page references in the source release include pp.1-3 for headline results and guidance, pp.4-9 for segment results, pp.11-12 and pp.19-20 for cash flow and capex, and pp.17-20 for non-GAAP measures.

The FY24 adjusted EPS base of $4.97 comes from Disney's Q4 FY24 and full-year earnings release. Current price and market capitalization are latest available market data as of the latest trade on June 26, 2026 UTC and are not historical as of the February 2025 earnings date. Our FY25E and FY26E EPS calculations are illustrative analyst estimates based on management's growth framework, not company guidance beyond the stated growth direction.

Additional modeling notes

- FY25E adjusted EPS of ~$5.39 uses FY24 adjusted EPS of $4.97 multiplied by an 8.5% high-single-digit growth assumption.

- FY26E adjusted EPS of ~$5.99 assumes 11.0% growth versus FY25E, consistent with an illustrative double-digit growth path.

- The $115 target price equals ~19.2x FY26E adjusted EPS rounded to the nearest dollar.

- Segment operating margins are calculated as segment operating income divided by segment revenue.

Important disclaimer